The entire capital surplus created in this manner has been absorbed by the issuance of Common Stock at par for an equal amount and accordingly is not a part of the existing surplus of the Company. No cash dividends have been declared out of such capital surplus so created.

The present estimated value of such leaseholds, using the same basis of appraisal as in 1924, is more than twice the present value shown on the books of the Company.

The effect of the inclusion of "Appreciation of Leaseholds" in earnings is shown herewith:

Year	Net earnings as reported	Earned per share of common ($25-par basis)	Market range ($25-par basis)	Amount of "Leasehold Appreciation" included in earnings	Earned per share of common excluding lease appreciation
1924	$6,697,000	$4.69	64–43	$1,248,000	$3.77
1925	8,813,000	5.95	116–60	1,295,000*	5.05
1926	9,855,000	5.02	110–83	2,302,000	3.81
1927	9,952,000†	4.63	100–81	2,437,000	3.43

* The 5% stock dividend paid in 1925 amounted to $1,737,770. There is an unexplained difference between the two figures, which in the other years are identical.
† Excluding refund of federal taxes of $229,017 applicable to prior years.

In passing judgment on the inclusion of leasehold appreciation in the current earnings of United Cigar Stores, a number of considerations might well be borne in mind.

1. Leaseholds are essentially as much a liability as they are an asset. They are an obligation to pay rent for premises occupied. Ironically enough, these very leaseholds of United Cigar Stores eventually plunged it into bankruptcy.

2. Assuming leaseholds may acquire a capital value to the occupant, such value is highly intangible, and it is contrary to accounting principles to mark up above actual cost the value of such intangibles in a balance sheet.

3. If the value of any capital asset is to be marked up, such enhancement must be credited to Capital Surplus. By no stretch of the imagination can it be considered as *income*.